THE SESSION · POST-CLOSE READ

Chips Slide, *Defensives Lead*

The Nasdaq fell 2.60% and the S&P 500 fell 1.22% as semiconductor shares sold off on AI spending concerns, while Brent rose 3.87% to $113.03 a barrel. Dividend Strategy +0.14% trailed DVY and beat SPY; Growth Portfolio −4.29% trailed IUSG.

S&P 500 ▼ 1.22% NASDAQ ▼ 2.60% DOW ▲ 0.02% VIX ▲ 14.09% BRENT ▲ 3.87%

DIVIDEND STRATEGY

TRAILED DVY · BEAT SPY

+0.14% 1-DAY

FCI		+0.14%
DVY		+2.10%
SPY		−1.18%

YTD **+21.10%** vs DVY +18.07% · SPY +12.91%

GROWTH PORTFOLIO

▼ TRAILED IUSG

−4.29% 1-DAY

FCI		−4.29%
IUSG		−2.66%

YTD **+15.15%** vs IUSG +11.78%

THE SESSION

Stocks fell on Thursday as a selloff in semiconductor and AI-related shares pulled the Nasdaq lower, while investors moved toward consumer staples and Treasuries. The Nasdaq fell 2.60% to 26,009 and the S&P 500 fell 1.22% to 7,663, while the Dow was little changed, up 0.02% to 52,868; the VIX rose 14.09% to 19.03. Meta raised the low end of its 2026 capital spending forecast to $135 billion, renewing questions about the pace of AI investment, and Lam Research fell after guiding December-quarter revenue to about $8.6 billion, an outlook management said was limited by near-term supply constraints. The official 10-year Treasury yield fell to 4.96% from 5.13% on Wednesday, its lowest since Sept. 22. Brent rose 3.87% to $113.03 a barrel up from $108.82 on Wednesday, on reports of planned U.S. and Israeli strikes on Iran. IBIT fell 3.72% and ETHA fell 4.52%.

The Dividend Strategy rose 0.14%, behind DVY's 2.10% gain by 1.96 points and ahead of SPY's 1.18% decline by 1.32 points, with fifteen of twenty-five holdings higher and ten lower. Lockheed Martin rose 6.96% and added about 0.30 point after reporting third-quarter earnings of $7.97 per share, a record $292.0 billion backlog and a higher 2026 outlook; Automatic Data Processing rose 4.56% and added about 0.29 point, and Waste Management rose 4.15%, adding about 0.25 point. Lam Research fell 11.76% and subtracted about 0.35 point, Constellation Energy fell 5.74% and subtracted about 0.31 point, and Broadcom fell 4.31%, subtracting about 0.29 point. Quest Diagnostics rose 1.93% after reporting adjusted third-quarter earnings of $3.00 per share and raising its full-year guidance.

When AI leaders and steady cash-generative franchises move several points apart in a single session, the value of owning different kinds of businesses becomes visible; the durable earners did their work today while the AI complex reset. ***Think Like an Owner.***

The Growth Portfolio fell 4.29%, behind IUSG's 2.66% decline by 1.63 points, with five of twenty-five holdings higher and twenty lower. Vistra fell 9.81% and subtracted about 0.62 point, Credo fell 10.70% and subtracted about 0.42 point, and Freeport-McMoRan fell 6.26%, subtracting about 0.39 point. ServiceNow rose 2.53% and added about 0.23 point, with CNX Resources adding about 0.04 point. On the year, the Dividend Strategy stands at +21.10% against DVY's +18.07%, a +3.03-point spread, with SPY at +12.91%; the Growth Portfolio stands at +15.15% against IUSG's +11.78%, a +3.37-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

LMT +6.96% DIVIDEND
Rose to $589.91 after third-quarter results, a record backlog and a higher 2026 outlook.

ADP +4.56% DIVIDEND
Rose to $307.94 without a company-specific catalyst identified.

CL +4.27% DIVIDEND
Rose to $97.39 as consumer staples led the market.

ATO +4.21% DIVIDEND
Rose to $173.98 without a company-specific catalyst identified.

DECLINERS

LRCX −11.76% DIVIDEND
Fell to $230.15 after a December-quarter outlook that management said was limited by supply constraints.

CRDO −10.70% GROWTH
Fell to $162.77 as AI-linked semiconductor shares sold off.

HUT −10.63% GROWTH
Fell to $63.97 without a company-specific catalyst identified.

VST −9.81% GROWTH
Fell to $140.83 without a company-specific catalyst identified.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY	GROWTH PORTFOLIO
+21.10%	+15.15%
vs DVY +18.07% / SPY +12.91%	vs IUSG +11.78%
Spread vs DVY **+3.03 pts**	Spread vs IUSG **+3.37 pts**

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